STUDY UNIT L: TAXATION OF DECEASED ESTATES AND TRUSTS

INTRODUCTION



As in the case of individuals and companies, it is possible for a deceased estate or trust to constitute a taxpayer and to be liable to tax on its taxable income.

So how does an estate come into being:

- An estate is a legal persona, which come into being by operation of law as follows.
- A deceased estate commences its existence with the death of an individual. It consists of the whole of the deceased's property. It is administered under the Estate Duty Act by the executor and terminates when any necessary realization of assets has been affected, the Master of High Court has effected final liquidation and distribution account.
- An insolvent or assigned estate is created by the order of the court on presentation of petition for surrender sequestration or statutory assignment of the debtor's estate.

A trust on the other hand is not generally a person though it may be regarded as a person for tax purposes especially when it has income the subject of which no beneficiary is entitled to. It comes into existence through the will of a deceased person (testamentary) or can be created by an existing person (inter vivos) as shall be seen later.

OBJECTIVES OF THE STUDY UNIT

- Identify income in the pre-death and post-death period.
- Identify different types of beneficiaries to a trust and deceased estate.
- Identify expenditures which are allowable to a deceased estate.
- Determine the tax treatment of the different income (employment income vs trading, Investments).
- Calculate the taxable income in the hands of a Trust.

STUDY MATERIAL

Income Tax Act Chapter 23:06
Estate Duty Act 23:03.

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COMPETENCE FRAMEWORK EXPECTATION

PROFESSIONAL COMPETENCIES

a. Ethical Behaviour
b. Critical thinking skills
c. Problem solving skills
d. Professional skills

TECHNICAL COMPETENCES

The relevant tax strategy concepts within the income tax framework to maximise tax benefits:

- Exemptions
- Deferment
- Options

CALCULATES TAXES FOR DECEASED ESTATES AND TRUSTS		
COMPETENCE	REQUIREMENTS	LEVEL
1. Identifies and determines the profile of the taxpayer.	Profile your taxpayer correctly in terms of legal form, residence, and organisational structure. Understand the legal provisions on taxation of the Deceased estates and Trusts Calculation of tax payable by a Deceased estates and Trusts.	Level X
2. Applies and interprets tax affairs applied to Deceased estates and Trusts.	Plan the tax affairs of a Deceased estates and Trusts. Understand the administration of Deceased estates and Trusts's taxes.	Level I

EXAMINATION POSSIBILITIES

Discussion of double taxation relief principles i.e. How the double taxation arises and the different relief types available.
Tax Planning taking advantage of double taxation agreements.

ASSUMED KNOWLEDGE

None

INTEGRATION

Possible estate planning at an individual level as well as strategy and risk from a MAF perspective. It is also possible to integrate with auditing to audit the accounting of trusts.

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COURSENOTES

KEY LEARNING POINTS

- Taxation of income generated by assets (property) in a deceased estate.
- Explain the implications of the Income Tax Act in relation to deceased estates.
- The tax treatment of the contents of wills of a deceased person.
- Identify what constitutes an estate of a deceased person.

APPLICATION OF THE INCOME TAX ACT IN RELATION TO DECEASED ESTATES – *SECTION 11*

Section 11 to the Income Tax Act deals with the taxation of *income derived* from assets in deceased estates.

KEY DEFINITIONS IN SECTION (*SECT 11 (1)*)

- Ascertained beneficiaries – means a person named or identified in the will of a deceased person who by reason of the will acquires on death of the deceased person any immediate certain right to claim the present or future enjoyment of the income so received or accrued.
- Asset in deceased estate - does not include a right to claim an amount which becomes due and payable before the death of the deceased person. Therefore, the above definition *excludes*:
    - Debtors as at time of death.
    - Cash Balances.

GENERAL PRINCIPLE

- Period up to death - On the death of a taxpayer an assessment is raised on deceased taxable income accruing to the date of death.
- Period after death - A new taxpayer a *deceased estate* then comes into being and there arises the question of determining in whose hands the income accruing in the post death period should be taxed.

INCOME ACCRUING DURING THE POST DEATH PERIOD – *SECT 11*

The terms of the will are crucial as they form the basis as to who is taxable on the income subsequently derived from the asset of the estate as follows;

- *Sect 11(2)* – Specific asset to a specific person
    - Where a specific asset is left to a specific individual e.g., my house to my son Arnold; the son is taxable on the income derived from the asset from the day after the death of the deceased. The son is in this case an ascertained beneficiary.
- *Sect 11(3)* – Residue
    - Where the will provides for a residue in the estate, the estate is taxable on the income derived from the asset or residue from the day after death until the date of distribution by the executor.
- ***Note!!!*** *Income accruing during the period where the beneficiary is entitled to transfer and ending immediately before the transfer from the deceased estate is taxable in the hands of the beneficiary.*

PRE AND POST DEATH INCOME – *SECT 11(4)*

- *Sect 11 (4) (a)* – an amount received or accruing by virtue of a right forming part of the assets in a deceased estate which did not become due and payable before the death of the deceased person (subject to par b) shall be income for the purposes of the Income Tax Act, if the amount would have been income of the deceased person had it been received in his lifetime.
  - E.g., contractual commission falling due after death, leave pay, rental income from properties.
  - The income is therefore taxable in the hands of either the deceased estate or ascertained beneficiary.
- *Sect 11(4) (b)* – an amount received in a deceased estate (received in the post death period) which would have been income of a deceased person had it been received in his lifetime ***shall not*** be income for the purposes of the Income tax Act if—
  - the deceased person had no right to claim the amount in his lifetime; and
  - the amount is received ex gratia or in pursuance of a gratuitous promise made after the death of the deceased person;
  - E.g., bonus voted for after death.

- Expenditure against post death income
  - If the expenditure is allowable under the general deduction formula it will also be allowed to be deducted in the estate or to the beneficiary, but inadmissible expenditure is disallowed in the determination of taxable income. For example, municipal rates for a flat that the deceased rents out will be deductible as it is an expenditure for the purpose of trade.

- Ordinary resident
  - An estate is regarded to be ordinarily resident in Zimbabwe if the deceased was ordinarily resident in Zimbabwe at the time of his death.

- Medical expenses
  - Medical expenses of the deceased paid after death is claimed as a credit in the pre-death period.

APPLICABLE TAXATION RATES

General Principle – The source of the income determines the rate of tax to be applied

Pre death period

- Employment Income – Apply PAYE rates
- Trade and Investments – 24% + Aids Levy

Post death period (Deceased Estate/beneficiary)

- Employment Income – Apply PAYE rates
- Trade and Investments – 24% + Aids Levy

DECEASED ESTATE: ESTATE DUTY ACT

Estate duty is a tax levied on the estate or property of a deceased person. The rate of tax is 5% of the dutiable amount of the estate.

Framework	
Gross property (assets)	xxxx

Less deduction	(xxxx)
Dutiable amount	xxxx

Note the first $50,000 of the dutiable amount is duty free.

ESTATE GROSS PROPERTY (*SECTION 4*)

- The following items constitute the property of the deceased person or the estate.
  - all property held at date of death by the deceased which was acquired after 1 January 1967. (*Sect 4 (1) (a*)
  - all property held at date of death by the deceased which was acquired before 1 January 1967. (*Sect 4 (1) (c*)
  - Property assumed (deemed) to be that of the deceased at date of death. (Sect 4 (1) (b))
- Note: the asset should be in the possession of the deceased person at the time of death to be included in the property of the deceased estate.

Property *Sect 4 (2)*

- "property" means any right in or to property, movable or immovable, corporeal or incorporeal, and includes:
- any fiduciary, usufructuary or other like interest in property (including a right to an annuity charged upon property) held by the deceased immediately prior to his death; and
- any right to an annuity (other than a right to an annuity charged upon any property) enjoyed by the deceased immediately prior to his death which accrued to some other person on the death of the deceased.

Property *Sect 4 (2)* – continued

- If deceased was not ordinarily resident in Zimbabwe property does not include:
- any right in immovable property situated outside Zimbabwe; or
- any right in movable property physically situated outside Zimbabwe; or
- any debt not recoverable or right of action not enforceable in the courts of Zimbabwe; or
- any goodwill, licence, patent, design, trademark, service mark, copyright or other similar right not registered or enforceable in Zimbabwe or attaching to any trade, business or profession in Zimbabwe; or
- any stocks or shares held by him in a body corporate which is not a company.

Deemed Property (Sect 4 (3))

All insurance policy proceeds on the life of the deceased as exceeds the aggregate amount of any premiums or consideration proved to the satisfaction of the Master to have been paid by any person who is entitled to the amount due under the policy, together with interest at nine per centum per annum calculated upon such premiums or consideration from the respective dates of payment to the date of death: ***excluding***:

- a policy the amount due under which is recoverable by the surviving spouse or child of the deceased under a duly registered ante-nuptial or post-nuptial contract;
- any amount due and recoverable under a policy which has been ceded by the deceased in his lifetime bona fide and for full consideration, otherwise than as security for payment of any sum of money or the fulfilment of any other obligation; or
- policies for purposes of paying estate duty
- Policies taken out by a person other than the deceased before 1 January 1967 etc.
- any property donated by the deceased under a donatio mortis causa; (donations made in anticipation of death)
- any property exceeding two hundred dollars in value donated under a donation inter vivos made before the 1st January 1967, unless such donation was made and took effect more than two years before the date of the death of the deceased;
- any property exceeding ten million dollars in value in any one calendar year donated under a donation (other than a donation to a spouse under a duly registered ante-nuptial or post-nuptial contract or a donatio mortis causa) made on or after the 1st January, 1967—

  (i) in the case of a deceased not referred to in subparagraph (ii), by the deceased; or

  (ii) in the case of a deceased who was married in community of property, by the deceased or by a spouse who was so married to the deceased to the extent to which the property would, if it had not been donated, have formed part of the estate of the deceased; or

  (iii) by a body corporate, if such property was disposed of under any donation made by it at the instance of the deceased and if, having regard to the circumstances under which that donation was made by such body corporate, the Master is of the opinion—

- A. that it was not made in the ordinary course of the normal income-earning operations of that body corporate; and
- B. that the selection of the donee who benefited by the donation was made at the instance of the deceased;

- *unless*—

- I. such donation is deemed to have been made more than five years before the date of death of the deceased donor; or
- II. such donation is deemed to have been made to a person who predeceased the donor;

Allowable deductions (*Sect 5*)

- Funeral and death-bed expenses
- Debts payable out of the deceased person's property to persons ordinarily resident in Zimbabwe excluding to companies which the deceased held some interest.
- Masters administration expenses in respect of the estate property
- Donations to charitable organizations or institution of public character
- The value of family house as defined by *Section 21* Capital Gains Tax Act, where the deceased is survived by spouse or child.
- any debts due by the deceased to persons ordinarily resident outside Zimbabwe which have been discharged from property included in the estate to the extent that the amount of such debts exceeds the value of any assets of the deceased outside Zimbabwe and not so included.
- the value of one motor vehicle of the deceased which is accepted by the Master as the family motor vehicle
- Proceeds from pension and benefit funds as have been included in the estate.
- Where the deceased is survived by his or her spouse, so much of the dutiable proceeds of insurance policies as do not exceed one hundred million dollars.

Sect 19 – Deduction of capital gains tax

There shall be deducted from any duty payable under this Act the amount of any tax paid by the deceased or his estate in terms of the Capital Gains Tax Act [Chapter 23:01], in respect of any property that is deemed to be the property of the deceased in terms of *paragraph (d) of subsection (3) of Section four*.

TAXATION OF INCOME ACCRUING TO TRUSTS: INCOME TAX ACT

a) TYPES OF TRUSTS

Will Trust (Testamentary)

- The deceased person will nominate certain people in his will who will take charge of his assets upon his death (Trustees).
- Such people will administer the assets of the trust and make distributions to the beneficiaries as directed by the will.
- Sometimes the will may state the time or at what age the assets of the trust shall be distributed or handed over to the beneficiaries. The trust will then be wound up when all the distributions have been made.

Inter Vivos Trust

- The person will by a written trust deed names certain person(s) as trustees and hand over various assets to them as initial capital of trust.
- The trustees will then administer this capital and receive any income accruing there from in accordance with the conditions set out in the trust deed.

NB!!!! a trust is not taxable unless it has income to which no beneficiary is entitled. In most cases the commissioner will tax the beneficiaries of the trust. The question will then turn out to be whether any beneficiary of a trust has a vested right or a contingent one. Where a beneficiary has **vested right, he is taxable on the trust income whether distributed or not**. **Where a beneficiary has contingent right and the terms and conditions of that right have not been met the income is taxable in the trust's hands.**

b) IDENTITY OF TRUST INCOME

The general rule is that trust income will retain its identity in the hands of the beneficiary. In other words, if the trust receives a bank interest and distribute it to the beneficiary, the income will still be called bank interest in the hands of a beneficiary.

An annuity however forms an exception to the general rule, thus the exemptions granted in respect of dividends and certain interest in terms of paragraph 9,10 and 11 of third schedule do not apply to any annuity paid out of such exempt income. In other words, for the beneficiary the income from an annuity does not take the form it had when it entered the Trust.

As long as an amount is received as an annuity by a beneficiary it will be taxable indiscriminately, no matter whether the trust income is from an exempted source.

c) TRUST EXPENDITURE

If the expenditure is allowable under the general deductions formula it will also be allowable against trust income, and prohibited expenditure is disallowed.

d) EXPENDITURE ON EXEMPT INCOME

It has to be reinforced once again that no expenditure is allowable to the extent to which such expenditure has been incurred in the production of exempt income. This scenario is usually more often in trust cases.

For instance, the trustees maybe paid commission based on the income created by them, of which part of the income will be from an exempt source.
Where such a circumstance applies, the allowable part of the commission will be reduced by:

$$\frac{A \times B}{C}$$

Where:
A is the exempt income,
B is direct expenditure applicable on creation of trust income,
C is total gross income created by the trustees.

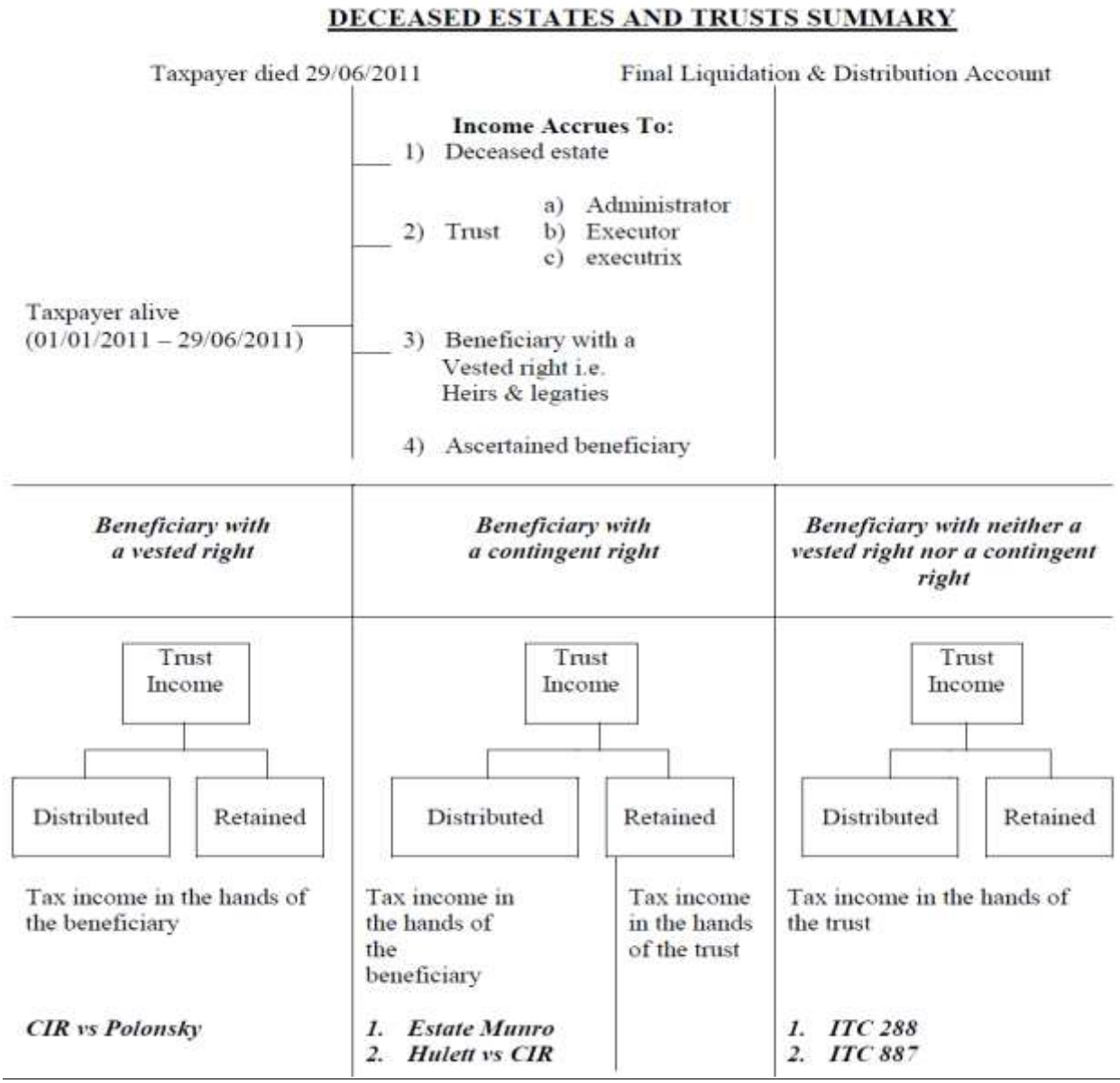
Example

Mhere trust was created on 31 July 2019 and is administered by Tendai and Tinotenda. During the current year of assessment, the trust earned a total income amounting to $80,000, included in this income is dividend from a company

incorporated in Zimbabwe amounting to $20,000. the trustees were paid commission amounting to $12,000. How much is allowable against trust income?

Solution

	$
Total commission paid	12,000
Less ($12 000x$20 000/$80 000)	(3,000)
Allowable commission	9,000



PRACTICE QUESTION

Oskar Trotsky, who was 45 years old, was ordinarily resident in Zimbabwe. He was married out of community of property to Naomi, who is disabled and unemployed.

They have three children, Svend who is 22 years of age, John who is 19 years of age and Karen who is 15 years of age. Oskar has been employed by Taurus (Pvt) Ltd ('Taurus') for the past 20 years and held the position of financial director for the past three years.

Oskar became seriously ill and on 26 February 2022 he was diagnosed with a terminal illness. He retired with effect from 28 February 2022 on the grounds of ill health. Oskar died on 31 March 2022 and his estate was wound up on 30 September 2022.

1. Oskar received the following remuneration from Taurus for the period 1 January 2022 to 28 February 2022:

	ZWL$000
Salary	40,000
Bonus, voted 15 February 2022	15,000
Directors' fees, voted 15 February 2022	10,000
Entertainment allowance (of which $ZWL3,000,000 had been. spent on entertaining business customers)	6,200
	71,200

Oskar had the use of a company vehicle with an engine capacity of 1 800cc.

2. On 10 January 2022 Taurus granted Oskar an interest-free loan of ZWL$45,000,000 to finance his medical expenses. Taurus also paid medical expenses amounting to ZWL$2,000,000 in February 2022 on behalf of Oskar.

3. When Oskar retired at the end of February, he was given the company vehicle which had been purchased by Taurus in November 2017 at a cost of ZWL$33,000,000 and which at 28 February 2022 had a market value of ZWL$25,000,000.

4. Oskar owned a block of flats in Zimbabwe which was let at a monthly rental of ZWL$4,300,000 from 1 January 2022 to 30 December 2022. In January 2022 he had erected a fence along one boundary at a cost of ZWL$1,500,000. At 31 December 2020 Oskar had an assessed loss of ZWL$7,500,000.

5. On 15 January 2022 Gemini (Pvt) Ltd, a subsidiary of Taurus, voted a directors' fee of ZWL$18,000,000 to Oskar, who had also been a director of this Zimbabwe registered company.
6. Oskar made the following bequests in terms of his will:
    - To his sister, Felicity Jones, the sum of ZWL$10,000,000.
    - To his wife, Naomi, the family home, and any movable assets as well as an annuity of ZWL$1,000,000 to be paid out of rental income from the block of flats.
    - The flats were bequeathed jointly to Sven, John and Karen. Oskar stipulated that the income from the flats would be held in trust for any child who was under the age of 21. If either of his sons died before they reached the age of 21, any accumulated rent would be paid immediately to his executors. However, if Karen died before she was 21 years of age, her share would fall away and would devolve on her surviving brothers.

7. The residue of the estate would be divided equally amongst the three children.

8. Operations during the administration period from April 2022 to September 2022:

	ZWL$000
Rental – 6 x $4,300,000	25,800
Interest arising on a loan to a Zimbabwe registered company	3,200
	29,000
Annuity - Mrs N Trotsky (6 x $1,000,000)	(6,000)
Maintenance costs (all allowable)	(4,800)
	18,200

REQUIRED

(a) Calculate the 2022 Income tax liability of Oskar Trotsky for the period to his date of death.

(b) Calculate the taxable income of each of the beneficiaries at 30 September 2022, when the estate was wound up, assuming none of them had any other taxable income. *Provide explanations for your answers*.

SOLUTION

	ZWL$000 (+)	ZWL$000 (-)
Salary	40,000	
Bonus	15,000	
Exempt bonus – 3rd Schedule	(500)	
Entertainment allowance (ZWL6,200,000-ZWL3,000,000)	3,200	
Motor Vehicle benefit (ZWL2,400,000*(2/12))	400	1,000
Directors' fees – Voted for before death	10,000	
Medical expenses paid by Taurus- exempt (Sch 3(8)1)	-	
Interest free loan granted by Taurus to Oskar to finance his medical expenses (No fringe benefit as it does not meet the definition of loan in Section 8)	-	
Motor vehicle given to Oskar	25,000	
		1,000
	93,100	
	(1,000)	
	92,100	
Tax : 40% x 92,100,000		
Tax thereon	36,840	
Credits: Disabled person (Naomi) Tax liability	(900)	
	35,940	

Income tax from trade and investment

	ZWL$000 (+)	ZWL$000 (-)
Rent from block of flats ZWL4,300,000*3.	12,900	
W&T on erection of fence (2,5%*1,500,000)		37,5
Assessed loss		7,500
Non-executive director's fees	18,000	
	30,900	7 537,5
	(7,537.5)	
Taxable Income	23,362.5	
Tax @ 24.72%	5,775.21	
Less withholding tax on directors' fees ($ZWL18,000*20%)	(3,600)	
	2,175	

(b) Taxable Income of Each of the beneficiaries at 30 September 2022

	ZWL$000	ZWL$000
Felicity Jones – Taxable Income		
Bequest in terms of Oscar's will – Felicity is an ascertained beneficiary – However the amount is capital in nature as it is not accruing from assets in the deceased estate		0
Naomi		
Annuity – Naomi is an ascertained beneficiary (paid out from rental income).		6,000

	ZWL$000	ZWL$000
Rental Income		25,800
Less Annuity		(6,000)
Less Maintenance costs		(4,800)
Total Taxable Income Arising on flat income		15,000
Svend – Ascertained beneficiary.		
Share of flat income: $15,000/3		5,000
Residue of the estate: Capital in nature		0
Taxable Income		5,000
John – Ascertained beneficiary		
Share of flat income – John has a contingent right. Therefore, since he has not yet reached the age of 21 the income is taxable in the hands of the trust		0
Residue of the estate: Capital in nature		0
Taxable Income		-
Karen – Ascertained beneficiary		
Share of flat income – Karen has a contingent right. Therefore, since he has not yet reached the age of 21 the income is taxable in the hands of the trust		0
Residue of the estate: Capital in nature		0
Trust -		
Flat income – John and Karen - $15,000*2/3		10,000
Deceased Estate – up to 30 September 2022		
Interest on loan – no ascertained beneficiary		3,200